Guinness Nigeria Plc

Unaudited Financial Statements

For the period ended 30 September 2024

Contents

	Page
Condensed Statement of Financial Position	1
Condensed Income Statement	2
Condensed Statement of Comprehensive Income	3
Condensed Statement of Changes in Equity	4
Condensed Statement of Cash Flows	5
Notes to the Condensed Financial Statements	6

Statement of Financial Position

As at 30 September

	Notes	30 Sep 2024	30 Jun 2024
ASSETS		₦'000	₦'000
Non-current assets			
Property, plant and equipment	13(a)	104,204,989	101,321,397
Right-of-use assets	22(a)	130,678	131,180
Intangible assets	14	443,440	481,120
Deferred tax assets		25,236,908	20,640,824
Total non-current assets		130,016,015	122,574,521
Current assets			
Inventories	16	55,393,391	41,857,479
Trade and other receivables	17(a)	38,582,141	13,225,730
Prepayments	15	7,795,628	1,561,241
Restricted cash	18(a)	1,103,560	1,106,760
Cash and cash equivalents	18(b)	13,124,209	45,804,346
Total current assets		115,998,929	103,555,556
Total assets		246,014,944	226,130,077
Equity			
Share capital		1,095,191	1,095,191
Share premium		47,447,029	47,447,029
Retained earnings		(58,547,063)	(46,380,754)
Total equity		(10,004,843)	2,161,466
Liabilities			
Non-current liabilities			
Lease liabilities	22(b)	140,781	135,325
Employee benefits		1,190,085	1,363,939
Total non-current liabilities		1,330,866	1,499,264
Current liabilities			
Bank overdrafts	18(b)	22,294,706	—
Current tax liabilities	12(b)	2,351,759	2,503,543
Dividend payable	20	1,155,862	1,184,550
Loans and borrowings	21(a)	32,062,437	40,132,900
Lease liabilities	22(b)	18	17
Contract liabilities	7(b)	962,040	2,743,373
Trade and other payables	23	195,862,099	175,904,964
Total current liabilities		254,688,921	222,469,347
Total liabilities		256,019,787	223,968,611
Total equity and liabilities		246,014,944	226,130,077

Approved by the Board of Directors on 23 October 2024 and signed on its behalf by:

Dr Omobola Johnson (Chairman)
FRC/2018/IODN/00000018366

Girish Sharma (Managing Director)
FRC/2021/PRO/DIR/003/00000023324

Emmanuel Difom (Finance & Strategy Director)
FRC/2022/PRO/ICAN/001/00000024174

The notes on pages 6 to 19 are integral parts of these financial statements.

Income Statement

For the period ended 30 September

	Notes	Quarter to date 30 September 2024	Year to date 30 September 2024	Quarter to date 30 September 2023	Year to date 30 September 2023
		₦'000	₦'000	₦'000	₦'000
Revenue	7(a)	125,885,624	125,885,624	59,536,477	59,536,477
Cost of sales		(111,629,308)	(111,629,308)	(41,398,835)	(41,398,835)
Gross profit		14,256,316	14,256,316	18,137,642	18,137,642
Other income	8(a)	67,798	67,798	1,395,931	1,395,931
Marketing and distribution expenses	8(b)	(13,303,114)	(13,303,114)	(8,313,860)	(8,313,860)
Administrative expenses		(7,887,090)	(7,887,090)	(3,345,581)	(3,345,581)
(Loss)/Profit from operating activities		(6,866,090)	(6,866,090)	7,874,132	7,874,132
Finance income	9(a)	2,440,223	2,440,223	563,929	563,929
Finance expense	9(b)	(11,608,193)	(11,608,193)	(4,620,337)	(4,620,337)
Net finance expense		(9,167,970)	(9,167,970)	(4,056,408)	(4,056,408)
(Loss)/Profit before income tax		(16,034,060)	(16,034,060)	3,817,724	3,817,724
Tax expense	12	3,867,751	3,867,751	(1,221,671)	(1,221,671)
(Loss)/Profit for the period		(12,166,309)	(12,166,309)	2,596,053	2,596,053
Earnings per share					
Basic and diluted earnings per share (kobo)			(555)		119

The notes on pages 6 to 19 are integral parts of these financial statements.

Statement of Comprehensive Income

For the period ended 30 September

	Quarter to date 30 September 2024	Year to date 30 September 2024	Quarter to date 30 September 2023	Year to date 30 September 2023
	₦'000	₦'000	₦'000	₦'000
(Loss)/Profit for the period	(12,166,309)	(12,166,309)	2,596,053	2,596,053
Total comprehensive (loss)/income for the period	(12,166,309)	(12,166,309)	2,596,053	2,596,053

The notes on pages 6 to 19 are integral parts of these financial statements.

Statement of Changes in Equity

For the period ended 30 September

	Notes	Share capital	Share premium	Share based payment reserve	Retained earnings	Total equity
		₦'000	₦'000	₦'000	₦'000	₦'000
Balance at 1 July 2023		1,095,191	47,447,029	—	7,882,396	56,424,616
Total comprehensive income						
Profit for the period		—	—	—	2,596,053	2,596,053
Total comprehensive income for the period		—	—	—	2,596,053	2,596,053
Transaction with owners, recorded directly in equity						
Share-based payment charge		—	—	35,735	—	35,735
Share-based payment recharge		—	—	(35,735)	—	(35,735)
Total transactions with owners		—	—	—	—	—
Balance at 30 September 2023		1,095,191	47,447,029	—	10,478,449	59,020,669
Balance at 1 July 2024		1,095,191	47,447,029	—	(46,380,754)	2,161,466
Total comprehensive loss						
Profit for the year		—	—	—	(12,166,309)	(12,166,309)
Total comprehensive loss for the period		—	—	—	(12,166,309)	(12,166,309)
Transaction with owners, recorded directly in equity						
Share-based payment charge		—	—	29,567	—	29,567
Share-based payment recharge		—	—	(29,567)	—	(29,567)
Total transactions with owners		—	—	—	—	—
Balance at 30 September 2024		1,095,191	47,447,029	—	(58,547,063)	(10,004,843)

The notes on pages 6 to 19 are integral parts of these financial statements.

Statement of Cash Flows

For the period ended 30 September

	Notes	3 Months Ended 30 September 2024	3 Months Ended 30 September 2023
		₦'000	₦'000
Cash flows from operating activities			
(Loss)/Profit before income tax		(16,034,060)	3,817,724
Adjustments for:			
Depreciation of property plant and equipment	13(a)	2,679,611	2,418,535
Depreciation of right-of-use assets	22(a)	502	32,135
Amortisation of intangible assets	14	37,680	35,019
Write-off of property, plant and equipment	13(c)	1,565	37,021
Gain on disposal of property, plant and equipment	13(c)	(21,762)	—
Reversal of impairment of inventories		(247,566)	(220,143)
(Release of)/Charge for expected credit loss of trade and other receivables	17(b)	(1,033)	530
Long service awards		(164,320)	31,923
Share-based payments		29,567	35,735
Finance income	9(a)	(2,440,223)	(563,930)
Finance expense	9(b)	11,608,193	4,620,335
Release of other provisions		—	(32,243)
		(4,551,846)	10,212,641
Changes in working capital:			
Inventories		(13,288,346)	(237,329)
Trade and other receivables	17(b)	(22,750,224)	(16,998,618)
Prepayments		(6,234,387)	(896,244)
Trade and other payables		19,938,158	3,452,702
Cash used in operating activities		(26,886,645)	(4,466,848)
Income tax paid		(880,117)	—
Value added tax paid		(4,935,670)	(2,046,778)
Dividend payables	20	(28,688)	(26,936)
Long service awards paid		(56,525)	(37,051)
Net cash generated from/(used in) from operating activities		(32,787,645)	(6,577,613)
Cash flows from investing activities			
Finance income received	9(a)	257,404	359,391
Proceeds from disposal of property, plant and equipment	13(c)	184,770	—
Acquisition of property, plant and equipment	13(b)	(7,397,788)	(2,511,755)
Acquisition of intangible assets	14	—	(11,463)
Net cash used in investing activities		(6,955,614)	(2,163,827)
Cash flows from financing activities			
Proceeds from loans and borrowings	21(b)	30,000,000	439,604
Repayment of loans and borrowings	21(b)	(40,385,102)	(6,171,206)
Finance expense paid	9(b)	(4,424,147)	(1,782,388)
Net cash used in financing activities		(14,809,249)	(7,513,990)
Net decrease in cash and cash equivalents		(54,552,508)	(16,255,430)
Effect of foreign exchange rate changes on cash and cash equivalents		(422,335)	453,808
Cash and cash equivalents at 1 July		45,804,346	92,124,683
Cash and cash equivalents at 30 September	18(b)	(9,170,497)	76,323,061

The notes on pages 6 to 19 are integral parts of these financial statements.

Notes to the Financial Statements

For the period ended 30 September

Note		Page
1	Reporting entity	7
2a	Basis of preparation	7
2b	Going concern basis of accounting	7
2c	Securities Trading Policy	7
3	Functional and presentation currency	7
4	Use of estimates and judgements	7
5	Changes in accounting policies	7
6	Significant accounting policies	7
7	Revenue	8
8	Other income and marketing and distribution expenses	8
9	Finance income and finance expense	9
10	Profit before taxation	10
11	Personnel expenses	10
12	Taxation	10
13	Property, plant and equipment (PPE)	11
14	Intangible assets	13
15	Prepayments	14
16	Inventories	14
17	Trade and other receivables	15
18	Cash and cash equivalents	15
19	Share capital and reserves	16
20	Dividends	16
21	Loans and borrowings	17
22	Leases	17
23	Trade and other payables	19
24	Events after the reporting date	19
25	Other information	19

1. Reporting entity

Guinness Nigeria Plc, ('the Company'), a public Company quoted on the Nigerian Stock Exchange, was incorporated in Nigeria on 29 April 1950, as a trading company importing Guinness Stout from Dublin. The Company has since transformed itself into a manufacturing operation and its principal activities continue to be brewing, packaging, marketing and selling of of Guinness Foreign Extra Stout, Guinness Smooth, Malta Guinness, Guinness Gold, Harp Lager, Smirnoff Ice, Satzenbrau Lager, Dubic Malt, Snapp, Orijin Spirit Mixed Drink, Orijin Bitters, Smirnoff Ice Double Black with Guarana, Orijin Zero and Orijin Herbal Gin, Baileys Delight, Gordons Moringa among others.

The address of the Company's registered office is at 24 Oba Akran Avenue, Ikeja, Lagos.

2a. Basis of preparation

The interim financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) and the interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC). The financial statements comply with IFRS as issued by the International Accounting Standards Board (IASB), and both requirements of the Financial Reporting Council of Nigeria Act and the Companies and Allied Matters Act. The financial statements were authorised for issue by the Board of Directors on 23 October 2024.

2b. Going concern basis of accounting

The financial statements have been prepared on a going concern basis, which assumes that the Company will be able to meet the mandatory repayment terms of banking facilities, trade, lease and other liabilities.

2c. Securities Trading Policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule), Guinness Nigeria Plc maintains a Dealing in Securities Code (the "Code") which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Code undergoes periodic reviews by the Board and is updated accordingly to comply with national and international best practice of corporate governance. The Company has made specific enquiries and given relevant notifications to all its Directors, Audit Committee members, employees and other insiders and is not aware of any infringement of the Code during the period under review.

3. Functional and presentation currency

These financial statements are presented in Naira, which is the Company's functional currency. All financial information presented in Naira (N) has been rounded to the nearest thousand unless otherwise stated.

4. Use of estimates and judgements

The preparation of the financial statements in conformity with IFRS requires management to make estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

5. Changes in accounting policies

There were no significant accounting policy change in the current financial year.

6. Significant accounting policies

The Company applied accounting policies consistent to those applied in the Company's financial statement as at year ended 30 June 2024.

7. Revenue

a. Disaggregation of revenue from contract with customer

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Nigeria	124,238,564	58,692,740
Export	1,647,060	843,737
	125,885,624	59,536,477

b. Liabilities relating to contracts with customers

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Contract liabilities	962,040	2,743,373

8. Other income and marketing and distribution expenses

a. Other income comprises:

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Sale of by-products	46,036	42,485
Gain on disposal of property, plant and equipment	21,762	—
Promisory note from EEG	—	1,353,446
	67,798	1,395,931

b. Marketing and distribution expenses:

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Marketing expenses	6,177,923	4,552,361
Distribution expenses	7,125,191	3,761,499
	13,303,114	8,313,860

9. Finance income and finance expense

a. Finance income is as follows:

i. Finance income per income statement

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Total interest income arising from financial assets	257,404	359,391
Accrued interest	1,719	155,106
Gain on re-measurement of foreign currency balances	2,181,100	49,432
	2,440,223	563,929

ii. Finance income received in the statement of cash flows

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Finance income per income statement	2,440,223	563,929
Unrealised foreign exchange gain	(2,181,100)	(49,432)
Accrued interest	(1,719)	(155,106)
	257,404	359,391

b. Finance expense is as follows:

i. Finance expense per income statement

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Interest expense on loans and borrowings	1,572,053	148,523
Accrued interest	1,479,502	866,172
Interest expense on lease liabilities	5,456	5,441
Interest expense on employee benefits	46,991	39,401
Exchange difference on letter of credits	63,896	224,305
Exchange difference on foreign currency loan	1,066,348	439,640
Loss on remeasurement of foreign currency balances	7,373,947	2,896,855
	11,608,193	4,620,337

ii. Finance expense paid in the statement of cash flows

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Finance expense per income statement	11,608,193	4,620,337
Interest expense on employee benefits	(46,991)	(39,401)
Accrued interest	(1,484,958)	(866,172)
Unrealised foreign exchange loss	(5,652,097)	(1,932,376)
	4,424,147	1,782,388

10. Profit before taxation

Profit before taxation is stated after charging:

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Depreciation of property, plant and equipment (Note 13(a))	2,679,611	2,418,535
Depreciation of right-of-use assets (Note 22(a))	502	32,134
Write-off of property plant and equipment (Note 13(c))	164,573	37,021
Amortisation of intangible assets (Note 14)	37,680	35,019
Personnel expenses (Note 11)	4,167,668	4,646,642
Gain on disposal of property, plant and equipment (Note 13(c))	(21,762)	—
Rental expenses	231,398	193,127
Royalty and technical service fees	627,166	373,775

11. Personnel expenses

Personnel expenses including the provision for gratuity liabilities and other long term employee benefits comprise:

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Salaries, wages and allowances	3,843,147	4,256,834
Contributions to defined contribution plans	227,844	331,496
Share-based payments expense	29,567	35,735
Other long term employee benefits	33,133	31,923
Termination expense/(credit)	33,977	(9,346)
Total personnel expenses	4,167,668	4,646,642

12. Taxation

a. Amounts recognised in income statement

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Current tax expense:		
Current income tax charge	728,333	1,145,317
Tertiary education tax	—	76,354
Deferred income tax charge	(4,596,084)	—
	(3,867,751)	1,221,671

b. Movement in current tax liabilities

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Balance at 1 July	2,503,543	5,256,637
Payments during the period/year	(880,117)	(4,959,969)
Charge for the period/year	728,333	1,684,439
Charge on prior years' Tax Audits	—	522,436
Balance at the end of period/year	2,351,759	2,503,543

13. Property, plant and equipment (PPE)

a. The movement on PPE during the year was as follows:

	Leasehold land	Buildings	Plant and machinery	Furniture and equipment	Motor vehicles	Returnable packaging materials	Capital work-in-progress	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Cost								
At 1 July 2023	9,159,782	25,574,124	107,512,876	444,734	6,494,973	23,353,206	2,748,094	175,287,789
Reclassification from intangibles	—	—	—	—	—	—	(22,586)	(22,586)
Additions	200,046	497,610	3,121,763	17,385	320,350	2,880,446	5,804,205	12,841,805
Transfers	554,599	110,980	1,207,356	7,007	—	29,859	(1,909,801)	—
Write-offs	—	(19,370)	(6,250,347)	(83,005)	(61,242)	(1,409,205)	(417,081)	(8,240,250)
Disposal	—	—	—	—	(77,465)	—	—	(77,465)
At 30 June 2024	9,914,427	26,163,344	105,591,648	386,121	6,676,616	24,854,306	6,202,831	179,789,293
At 1 July 2024	9,914,427	26,163,344	105,591,648	386,121	6,676,616	24,854,306	6,202,831	179,789,293
Additions	—	—	345,799	—	—	1,859,688	3,522,289	5,727,776
Transfer	—	316,210	1,235,268	—	—	299,295	(1,850,773)	—
Write-offs	—	—	—	—	—	—	(1,565)	(1,565)
Disposal	—	—	(55,551)	—	(519,129)	—	—	(574,680)
At 30 September 2024	9,914,427	26,479,554	107,117,164	386,121	6,157,487	27,013,289	7,872,782	184,940,824
Depreciation and impairment								
At 1 July 2023	(144,120)	(5,625,399)	(52,034,094)	(282,954)	(4,039,134)	(13,984,441)	—	(76,110,142)
Charge for the year	—	(594,044)	(5,071,875)	(21,299)	(948,469)	(3,244,048)	—	(9,879,735)
Write-offs	—	13,718	5,893,768	81,803	60,720	1,400,952	—	7,450,961
Disposals	—	—	—	—	71,020	—	—	71,020
At 30 June 2024	(144,120)	(6,205,725)	(51,212,201)	(222,450)	(4,855,863)	(15,827,537)	—	(78,467,896)
At 1 July 2024	(144,120)	(6,205,725)	(51,212,201)	(222,450)	(4,855,863)	(15,827,537)	—	(78,467,896)
Charge for the year	—	(152,158)	(1,408,680)	(5,722)	(199,242)	(913,809)	—	(2,679,611)
Disposals	—	—	27,434	—	384,238	—	—	411,672
At 30 September 2024	(144,120)	(6,357,883)	(52,593,447)	(228,172)	(4,670,867)	(16,741,346)	—	(80,735,835)
Carrying amount								
At 30 June 2024	9,770,307	19,957,619	54,379,447	163,671	1,820,753	9,026,769	6,202,831	101,321,397
At 30 September 2024	9,770,307	20,121,671	54,523,717	157,949	1,486,620	10,271,943	7,872,782	104,204,989

b. Cash paid on acquisition of property, plant and equipment in the statement of cash flows

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Additions during the year (Note 13(a))	5,727,776	2,827,842
Payments on prior year accruals for additions	3,529,785	823,020
Accruals on current year acquisitions	(1,859,773)	(1,139,108)
	7,397,788	2,511,754

c. Property, plant and equipment disposed/written off in the statement of cash flows

	30 Sep 2024	30 Sep 2023
	₦'000	₦'000
Cost of Property, plant and equipment disposed and written off	576,245	228,396
Accumulated depreciation on Property, plant and equipment disposed and written off	(411,672)	(191,375)
Carrying amount of Property, plant and equipment disposed and written off	164,573	37,021
Proceeds from disposal of property, plant and equipment	(184,770)	—
	(20,197)	37,021
Analysed as:		
Carrying amount of property, plant and equipment written off	1,565	37,021
Gain on disposal of property, plant and equipment	(21,762)	—
	(20,197)	37,021

14. Intangible assets

The movement in intangible assets during the year was as follows:

	Distribution right	Computer software	Total
	₦'000	₦'000	₦'000
Cost			
Balance at 1 July 2023	995,250	839,706	1,834,956
Reclassification from Property, plant and equipment	—	22,586	22,586
Additions	—	58,351	58,351
Write-offs	—	(1,767)	(1,767)
Balance at 30 June 2024	995,250	918,876	1,914,126
Balance at 1 July 2024	995,250	918,876	1,914,126
Write-offs	(995,250)	—	(995,250)
Balance at 30 September 2024	—	918,876	918,876
Amortisation			
Balance at 1 July 2023	(995,250)	(289,756)	(1,285,006)
Write-offs	—	1,767	1,767
Charge for the year	—	(149,767)	(149,767)
Balance at 30 June 2024	(995,250)	(437,756)	(1,433,006)
Balance at 1 July 2024	(995,250)	(437,756)	(1,433,006)
Reclassification from Property, plant and equipment	995,250	—	995,250
Charge for the year	—	(37,680)	(37,680)
Balance at 30 September 2024	—	(475,436)	(475,436)
Carrying amount			
At 30 June 2024	—	481,120	481,120
At 30 September 2024	—	443,440	443,440

15. Prepayments

Prepayments comprise:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Prepaid rent	38,852	84,520
Other prepaid expenses	1,593,487	265,967
Prepayment for raw materials	6,163,289	1,210,754
	1,632,339	350,487

Prepayments is analysed into:

	₦'000	₦'000
Non-current	—	—
Current	7,795,628	1,561,241
	7,795,628	1,561,241

Other prepaid expenses relate to housing and education subsidies, leave allowance and insurance. Prepaid rent disclosed is out of scope of IFRS16.

16. Inventories

Inventories comprise:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Finished products	18,582,545	8,728,157
Products in process	3,664,028	3,299,862
Raw materials and packaging materials	10,144,406	17,403,178
Engineering spares	14,440,329	11,222,285
Inventories in transit	8,562,083	1,203,997
	55,393,391	41,857,479

17. Trade and other receivables

a. Trade and other receivables comprise:

Financial assets:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Trade receivables	36,703,155	12,055,113
Other receivables	1,719	195,582
Amounts due from related parties	—	163,212
Total financial assets	36,704,874	12,413,907

Non-financial assets:

Other receivables - current	1,877,267	811,823
Total trade and other trade receivables	38,582,141	13,225,730

b. Changes in trade and other receivables in the statement of cash flows:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Change in current trade and other receivables	(25,356,411)	(1,252,432)
Unrealised exchange gain	2,603,435	15,730,014
Accrued finance income	1,719	94,383
Reversal of impairment on (non-financial) other receivables	—	44,570
Charge for of expected credit loss on (financial) trade and other receivables	1,033	(15,987)
	(22,750,224)	14,600,548

18. Cash and cash equivalents

a. Restricted cash:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Restricted cash	1,103,560	1,106,760

b. Cash and cash equivalents:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Bank balances	13,124,209	29,804,346
Short-term deposits	—	16,000,000
Cash and cash equivalents	13,124,209	45,804,346
Bank overdrafts	(22,294,706)	—
Cash and cash equivalents in the statement of cash flows	(9,170,497)	45,804,346

19. Share capital and reserves

a. Authorised ordinary shares of 50k each

in thousand of shares

	30 Sep 2024	30 Jun 2024
At the end of period/year	2,190,383	2,190,383

b. Issued and fully paid-up ordinary shares of 50k each

in thousand of shares

	30 Sep 2024	30 Jun 2024
At the end of period/year	2,190,383	2,190,383

c. Share premium

Share premium represents the consideration received in excess of the nominal value of ordinary shares of the Company.

All shares rank equally with regard to the Company's residual assets. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

d. Share-based payment reserve

The share-based payment reserve comprises the cumulative weighted average fair value of executive share option and executive share award plans granted by Diageo plc to Directors and employees of the Company which have not vested at year end.

20. Dividends

Dividend payable:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
At 1 July	1,184,550	1,695,832
Unclaimed dividend transferred to retained earnings	—	(503,626)
Unclaimed dividend with Registrar	(25,488)	42,395
Payments during the period/year:		
Paid to the registrar	(3,200)	(50,051)
Cash and cash equivalents	—	—
At the end of period/year	1,155,862	1,184,550

	30 Sep 2024	30 Jun 2024
Dividend payable is represented by	₦'000	₦'000
Restricted cash	1,103,560	1,106,760
Balance with Registrar	52,302	77,790
At the end of period/year	1,155,862	1,184,550

21. Loans and borrowings

a. Loans and borrowings comprise:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Related party loans	—	39,318,754
Letters of credit	32,062,437	814,146
Total loans and borrowings	32,062,437	40,132,900

The total loans and borrowings is classified as follows:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Current liabilities		
Related party loans	—	39,318,754
Letters of credit loans	32,062,437	814,146
Total current loans and borrowings	32,062,437	40,132,900
Total loans and borrowings	32,062,437	40,132,900

b. Movement in loans and borrowings:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
At 1 July	40,132,900	63,755,939
Proceeds from loans and borrowings obtained during the period/year	30,000,000	3,889,841
Finance expense:		
- Interest expense	1,572,053	6,573,847
- Interest expense - accrued	1,184,395	(491,433)
Withholding tax on interest expense	—	(100,191)
Exchange difference on letter of credits	63,896	2,435,456
Exchange difference on foreign currency loan	1,066,348	20,486,715
Interest paid	(1,572,053)	(6,573,847)
Loans repaid during the period/year	(40,385,102)	(49,843,427)
At the end of period/year	32,062,437	40,132,900

22. Leases

a. Right-of-use assets

Movement in right-of-use assets:

	Land & Building	Total
	₦'000	₦'000
Gross carrying value		
At 1 July 2023	737,815	737,815
Remeasurement of Right-of-use assets	(35,429)	(35,429)
Write-off	(562,807)	(562,807)
At 30 June 2024	139,579	139,579
At 1 July 2024	139,579	139,579
Additions	—	—
At 30 September 2024	139,579	139,579
Accumulated depreciation		
At 1 July 2023	(520,241)	(520,241)
Depreciation charge	(50,965)	(50,965)
Write-off	562,807	562,807
At 30 June 2024	(8,399)	(8,399)
At 1 July 2024	(8,399)	(8,399)
Depreciation charge	(502)	(502)
At 30 September 2024	(8,901)	(8,901)
Net book value at 30 June 2024	131,180	131,180
Net book value at 30 September 2024	130,678	130,678

The Company leases space for buildings. The leases of office space is mainly for more than 10 years with an option to renew.

b. Lease liabilities

Movement in lease liabilities:

	₦'000
At 1 July 2023	154,301
Remeasurement	(35,429)
Interest expense on leases	21,468
Repayment of lease liabilities:	
- Repayment of the principal portion of the lease liabilities	(4,998)
- Interest paid on lease liabilities	—
At 30 June 2024	135,342
At 1 July 2024	135,342
Interest expense on leases	5,456
At 30 September 2024	140,798
Presented as:	
Current	18
Non-current	140,781
At 30 September 2024	140,799

23. Trade and other payables

Trade and other payables comprise:

	30 Sep 2024	30 Jun 2024
	₦'000	₦'000
Financial liabilities:		
Trade payables	177,355,640	50,723,291
Other payables and accrued expenses	13,761,296	12,567,951
Amount due to related parties	—	111,039,096
Total financial liabilities	191,116,936	174,330,338
Non-financial liabilities:		
Refund liabilities	1,070,491	74,607
Other payables and accrued expenses	3,674,672	1,500,019
Total non-financial liabilities	4,745,163	1,574,626
Total trade and other payables	195,862,099	175,904,964

24. Events after the reporting date

There are no significant subsequent events, which could have had a material effect on the financial statements of the Company as at 30 September 2024 that have not been adequately provided for or disclosed in the financial statements.

25. Other information

Under the terms of an agreement signed on 11 June 2024, the Company announced the acquisition of Diageo's 58.02% shareholding in Guinness Nigeria by the Tolaram Group. The transaction was completed on 30 September 2024.